

Demo Bank Home Loan Policy

Version 3.2 - Effective 1 April 2026. Applies to all retail home loans in India.

1. Purpose and Scope

This policy sets out the terms on which Demo Bank offers home loans for purchase, construction, extension and renovation of residential property to resident and non-resident Indian individuals.

2. Interest Rates

Floating-rate home loans are linked to the Demo Bank Repo Linked Lending Rate (RLLR). Current rates range from 8.40% to 9.65% per annum depending on credit score, loan amount and loan-to-value ratio. Women borrowers receive a concession of 0.05% per annum. Fixed-rate home loans are offered at 9.75% to 10.50% per annum for the first 5 years, after which they convert to floating rates. Interest is reset quarterly on floating-rate loans when the RLLR changes.

3. Foreclosure and Prepayment Charges

No foreclosure charges or part-prepayment penalties are levied on floating-rate home loans availed by individual borrowers, whether the loan is closed from own funds or by balance transfer to another lender, in line with RBI directions. For fixed-rate home loans, foreclosure within 3 years of the first disbursement attracts a charge of 2% of the principal outstanding plus GST. Foreclosure after 3 years attracts a charge of 1% of the principal outstanding plus GST. No charge applies to fixed-rate loans foreclosed from the borrower's own sources after 5 years. Part-prepayment of up to 25% of the principal outstanding in a financial year is free of charge on fixed-rate loans.

4. Processing Fee

A processing fee of 0.50% of the loan amount, subject to a minimum of Rs. 3,000 and a maximum of Rs. 10,000, plus GST, is payable at the time of application. The fee is non-refundable once the loan is sanctioned.

5. Eligibility

Salaried applicants must be aged 21 to 60 years with at least 2 years of total work experience. Self-employed applicants must be aged 25 to 65 years with at least 3 years of business continuity. The maximum loan tenure is 30 years or until the borrower turns 70, whichever is earlier. The loan-to-value ratio is capped at 90% for loans up to Rs. 30 lakh, 80% for loans between Rs. 30 lakh and Rs. 75 lakh, and 75% above Rs. 75 lakh.

6. Documents Required

KYC documents (PAN and Aadhaar or passport), last 3 months salary slips or 2 years income tax returns for self-employed, 6 months bank statements, and property documents including the sale agreement and approved building plan.

7. EMI and Late Payment

EMIs are debited on the 5th of every month by NACH mandate. A late payment charge of 2% per month on the overdue EMI amount applies, subject to a maximum of Rs. 5,000 per instance. A NACH bounce charge of Rs. 500 plus GST applies per dishonoured mandate.